

MFIN Business Challenge II



Acclaim Autism Next Phase of Growth

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Executive Summary: Acclaim Autism Growth Strategy – Model Optimization

Acclaim Autism is confronted with serious challenges in revenue stability, operational efficiency, and financial strategy as it prepares for its next growth phase. Our analysis, leveraging comprehensive financial data from 2022–2024, identifies key issues and recommends actionable recommendations for sustainable growth and risk avoidance.

Identified key problems

Revenue Stability: Quarter-to-quarter revenue growth ranges between -36% and 85%, and there are huge disruptions in cash flow due to \$1.3M in accounts receivable (AR) resulting in an increase in days sales outstanding (DSO) of 62 days, exceeding the target of 45 days. Cash flow volatility is evident, with net cash from operations totaling \$541,845 over three years which decreased to a negative \$331,214 in Q3 of 2023.

Operational Efficiency: Due to scheduling inefficiencies that resulted in approximately 20% cancellation rate equivalent to 300 lost therapy hours weekly, Acclaim lost approximately \$682,640 annually.

Financial Strategy: High-interest loans, including \$57,937.49 of credit cards and \$140,756.67 of lines of credit (Q1 of 2023 high), burden the balance sheet, with total liabilities rising to \$708,214.68 by Q4 of 2024. Total assets rose to \$1,794,400.75, but net income volatility (\$509,237 total, ranging from -\$216,133 to \$494,347 per quarter) threatens stability.

Recommendations

Revenue Stability: We suggest utilizing accounts receivable (AR) factoring to resolve Acclaim Autism's revenue stability challenges, optimizing cash flow by \$1,560,448.71, decreasing the DSO from 62 days to the target of 45, and replacing receivable holding costs of \$63,059.23 by factoring interest of \$27,200.97 for the quarter beginning October 2024 through December 2024. As a suggestion, Acclaim could look into more sophisticated accounting software that would enable them to conduct effective aging analysis and also have early settlement discounts to expedite payments while mitigating disruptions to cash flows due to the \$1.3M of outstanding AR. To further protect top line revenue, we recommend executing SEO efforts such as Google My Business optimization, title and description keyword alignment, and quarterly promotional packages being distributed to schools, community centers, and pediatricians while utilizing the \$1.95 million revenue of Q4 2024 to increase client revenue and inquiries.

Operational Efficiency: To enhance efficiency in operations, we suggest adopting the Smart Appointment Swap solution, an innovative solution that automates slot swaps to cut the 20% cancellation rate, restore 60% of wasted therapy hours equivalent to 180 hours weekly and generate an additional \$682,640 in yearly revenues at a rate of \$74 per hour. This project will be a one-time expense of \$23,400 to Acclaim as initial cost, while recurring cost of \$8,400 every year in system maintenance and SMS alert will be an impressive return on investment. To enable this, we recommend the implementation of SMS reminder and using third-party scheduler calendar tools like Google Calendar and Calendly, with one-time software development cost of \$15,000, in order to organize calendars and increase the productivity of company-wide teams at Acclaim's.

Financial Strategy: Regarding financial strategy, we suggest utilizing the \$1,560,448.71 cash from AR factoring to pay off high-interest debt, including \$57,937.49 credit card amounts and up to \$140,756.67 in lines of credit, to reduce interest expense, such as the \$88,066 paid in Q4 2023. Any remaining funds should be applied to operational costs, including \$312,153 to \$1,372,015 annually in payroll expense, and marketing, with advertising and IT expenses of between \$4,641 to \$35,319 a quarter, to support growth initiatives without incurring new debt. This plan allows for financial health, with overall equity of \$654,782.95 as of Q4 2024, while encouraging sustainable growth.

Implementation Timeline

To account for the implementation timeframe for each solution, it is advisable that Acclaim uses a Gantt chart for the timeline of January – December 2025, while including quarterly milestones for factoring, SEO, and operational improvement. This will create balance among all activities and enable progress monitoring. Given the company's assets and net income of \$1,794,400.75 and \$509,237, respectively, during the years of 2022 through 2024, this action will ensure consistent growth and minimize financial challenges, improve conflict timing, and increase the company's revenue.